

Meta Platforms, Inc.

META NASDAQ

Buy	\$616.77 ▲ 1.00%	12M Price Target \$720.00	52-Week Range \$520.26 – \$790.80	Market Cap \$1.57T
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META: Teen Safety Deal Flips Regulatory Risk Into Moat

WHAT HAPPENED

- META just ran ~8% in five sessions (from \$572 to \$617) and the tape is being driven by the \$18B teen-safety settlement headline. Counterintuitively, the market is treating this as BULLISH — Meta writes a check it can easily afford, and in return it sets the compliance bar so high that TikTok and YouTube now have to spend billions catching up. That's regulatory judo.
- Options desks are leaning hard bullish (P/C ratio 0.51, huge unusual call buying at \$610–\$615 strikes expiring this month) — someone with size thinks we grind higher into September. Offsetting that: CFO Susan Li and CLO Curtis Mahoney sold ~\$3.5M combined in mid-August. Not panic selling, but not a vote of confidence at these levels either.

WHY IT MATTERS

Here's the read-through: the teen-safety deal is a template. It signals Meta wants to negotiate settlements rather than fight regulators, which removes a massive overhang that's suppressed the multiple for years. If Congress uses Meta's settlement as the de facto standard for the pending Kids Online Safety Act (KOSA) framework, Meta effectively wrote the rules — and smaller competitors get crushed by compliance costs they can't absorb. The stock is at 36% of its 52-week range (\$520–\$790), so there's real room to reclaim the highs if the ad market cooperates and Reality Labs losses narrow. What to watch: if unusual call buyers are right, we're setting up for a squeeze into the September opex and Q3 earnings in late October.

POLICY & POLITICAL WATCH

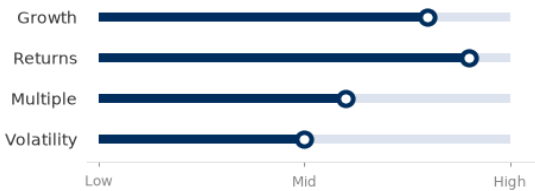
Three live wires right now: (1) KOSA and state-level kids' safety bills — Meta's \$18B settlement essentially preempts the harshest version of these, which is a HUGE tailwind. (2) The FTC antitrust case seeking to unwind the Instagram/WhatsApp acquisitions is still grinding through appeals; a loss would be catastrophic but the current administration has signaled a lighter touch on Big Tech breakups. (3) EU Digital Markets Act fines continue to be a nuisance tax (~\$200-400M pops) but nothing existential. Net-net, the US regulatory environment is getting FRIENDLIER for Meta, not tougher — that's the shift the market is starting to price in.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$616.77
12M Price Target	\$720.00
Upside / (Downside)	+16.7%
Market Cap	\$1.57T
FY2026E Revenue	\$195M
FY2027E Revenue	\$225M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	22.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$655.00	\$625.00	\$585.00
6 Months	\$720.00	\$660.00	\$560.00
1 Year	\$800.00	\$720.00	\$540.00
2 Years	\$950.00	\$800.00	\$500.00
5 Years	\$1400.00	\$1000.00	\$450.00
10 Years	\$2200.00	\$1500.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+0.70% today, +0.86% week) is quietly leading again — money is flowing back into mega-cap quality after a summer of rotation. AI infrastructure names remain the belle of the ball.

COOLING OFF: Real Estate (-0.72%), Materials (-1.39% week), and Financials (-0.79%) — classic risk-off in the cyclicals suggests investors are worried about growth and want to hide in cash-generating tech.

ROTATION WATCH: Money is moving OUT of rate-sensitive sectors (REITs, financials) and INTO large-cap tech with pricing power. Meta fits that bucket perfectly — it's a cash machine with AI optionality.

RELATED PLAY: If Meta's AI infrastructure spend keeps climbing (they guided \$60B+ capex), the picks-and-shovels beneficiaries are NVDA, AVGO, and the data center REITs like EQIX and DLR. AMD is also worth a look based on this morning's chip-shift headline.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Getting fresh analyst love as the "underestimated Mag 7" — Search is holding up better than feared and Gemini is finally getting traction.
- NVDA (Nvidia): Still the AI capex beneficiary-in-chief; every dollar Meta spends on infrastructure flows partly to Jensen.

META CONTEXT: META is lagging the Mag 7 leaders YTD (only at 36% of its 52-week range vs. Nvidia and Alphabet near highs), which actually makes it the more interesting setup — it has more room to run if the regulatory overhang lifts and Q3 delivers.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$590-605 on pullbacks

Time Horizon: 12-18 months

Thesis Invalidation: Ad revenue decel below 10% YoY or EU/US forced breakup of Instagram

Hedging: Small put spread or pair against SNAP/PINS on ad-spend weakness